

Micron Technology, Inc.

MU NASDAQ

Buy	\$1053.46 ▼ 2.66%	12M Price Target \$1300.00	52-Week Range \$159.97 – \$1255.00	Market Cap \$1.19T
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MU: Earnings on Deck, AI Memory Demand Still Screaming

WHAT HAPPENED

- MU down 2.7% today, giving back about \$40 into earnings — this is classic "de-risking" ahead of a print. The catalyst: an AI-related security breach story hit the wires, which spooked chip stocks broadly (Nvidia was the exception). Translation: nervous money is trimming winners before Micron's \$50B revenue year gets tested tomorrow.
- Big offset — an analyst just hiked their price target sharply right before earnings. That tells you the sell-side thinks the setup is bullish, even if the tape looks shaky today.

WHY IT MATTERS

The stock is up roughly 6x from its 52-week low (\$160 to \$1050), so a 2-3% wobble into a huge earnings print is noise, not signal. What matters: the options market is loudly bullish (put/call of 0.62 with massive unusual call buying at \$1040-\$1050 strikes), meaning smart money is positioning for an upside surprise. If Micron guides HBM (high-bandwidth memory — the specialty chips Nvidia's GPUs need) supply as "sold out through 2027" again, this rips to new highs. If they hint at any pricing softness in commodity DRAM (the standard memory in PCs and phones), the stock gives back 8-10% fast because expectations are stretched.

POLICY & POLITICAL WATCH

Micron is the single biggest beneficiary of the CHIPS Act — they've been awarded roughly \$6.1B in federal grants to build fabs in Idaho and New York, and the current administration has kept subsidies flowing rather than clawing them back. The bigger near-term policy watch is US-China export controls: the administration is reportedly considering tighter restrictions on advanced memory exports to China, which is a double-edged sword — it caps a piece of Micron's addressable market but also boxes out Chinese competitor CXMT, which is Micron's biggest long-term threat. Also watch the tariff picture: any escalation with China could trigger retaliation against US memory makers specifically, since China did that in 2023.

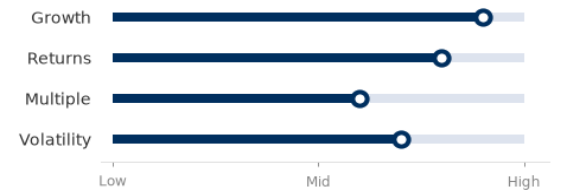
IS IT EXPENSIVE?

At ~25x forward earnings, you're paying \$25 for every \$1 of profit Micron is expected to make next year — that sounds pricey for a memory company (historically these trade at 8-12x at cycle peaks), but the market is treating Micron less like a cyclical commodity name and more like an AI infrastructure play. The justification: HBM margins are 3-4x commodity DRAM margins, and Micron's HBM revenue is scaling from near-zero to potentially \$10B+ in two years. If that math holds, the multiple compresses naturally as earnings explode — meaning the stock can stay flat and get "cheap" quickly.

Key Data

Price (USD)	\$1053.46
12M Price Target	\$1300.00
Upside / (Downside)	+23.4%
Market Cap	\$1.19T
FY2026E Revenue	\$51,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	24.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1200.00	\$1100.00	\$950.00
6 Months	\$1400.00	\$1200.00	\$900.00
1 Year	\$1600.00	\$1300.00	\$850.00
2 Years	\$2000.00	\$1500.00	\$800.00
5 Years	\$3000.00	\$2000.00	\$700.00
10 Years	\$5000.00	\$3000.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semis and AI infrastructure — money keeps flowing here because federal CHIPS Act dollars are still being deployed and hyperscaler capex guides keep going UP, not down. Healthcare and staples caught a small bid today which is classic risk-off rotation.

COOLING OFF: Utilities and Real Estate got hammered (-3% on the week) — rates are backing up again, and rate-sensitive sectors always take it on the chin when yields climb.

ROTATION WATCH: Today looked like a mini "sell the winners, buy the defensives" day — but only on a 1-day basis. The 5-day picture still shows money committed to AI/semis.

RELATED PLAY: If Micron's HBM story confirms tomorrow, the picks-and-shovels play is the memory equipment names (Lam Research, Applied Materials) — they sell the machines Micron buys to build HBM capacity.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Bucked the chip selloff today — the market keeps treating Nvidia as the "safe" AI trade even when peers wobble, which is a tell about where conviction lives.
- AVGO (Broadcom): Custom AI chip wins with hyperscalers keep the story alive, and they benefit from the same capex wave Micron does.

MU CONTEXT: Micron is lagging Nvidia today, which is normal — MU is the higher-beta way to play the same theme, so it swings harder both ways. If earnings confirm the story, MU tends to close the gap fast because it's still cheaper on earnings than Nvidia.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Pounding the table would require earnings confirmation, but the options flow, analyst upgrade, and policy tailwinds all line up bullishly into the print.

POSITION SIZE: 3-5% — this is a real position but not a bet-the-farm one; memory cyclicity means you always keep dry powder.

ENTRY POINTS: I'd add on any dip to \$1000-1050, and aggressively below \$950 if we get a macro flush. Chasing above \$1150 pre-earnings is a bad risk/reward.

TIME HORIZON: 12-24 months — the HBM story has multi-year legs as long as AI capex holds. Near-term catalyst is tomorrow's earnings.

WHEN TO BAIL: If HBM guidance disappoints, if DRAM spot prices break down 15%+, or if China formally bans Micron products again — any of those and I'd cut fast.

HEDGING: Simplest hedge is trimming 20-25% of the position ahead of earnings so you're not exposed to a binary print. Or buy a cheap put a few percent below current price as earnings insurance — costs a little, sleeps a lot.